

Dierel economis

Chp:- Cost and Revenues

Topic:- Intro to costs



Large
mushtaq

Large firms $\Rightarrow$ Objective :- Profit maximization

$\Downarrow$
Large scale
 $\Downarrow$
Long run
 $\Downarrow$
factors of
production :-
variable
 $\Downarrow$
Efficient allocation
and substitution
of resources
 $\Downarrow$
Efficiency $\uparrow$

$$\text{Profit} = \text{Total revenue} - \text{Total cost}$$

Target #1 :- Maximize total revenue

Target #2 :- Minimize total cost

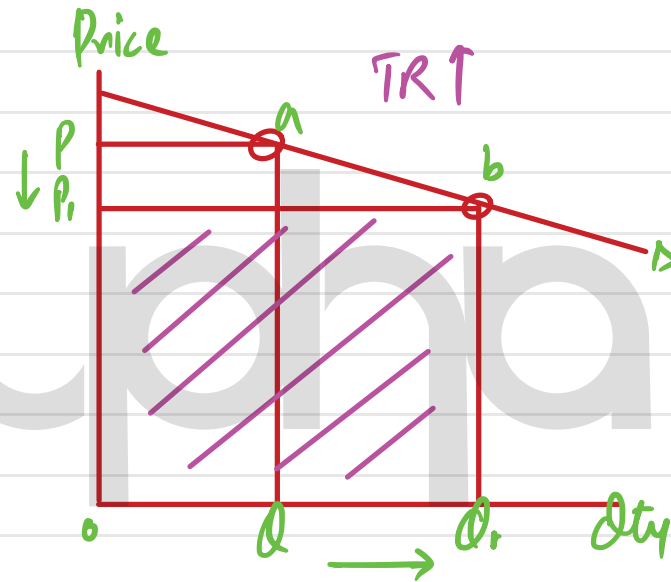
Target #1:- Maximize total revenue



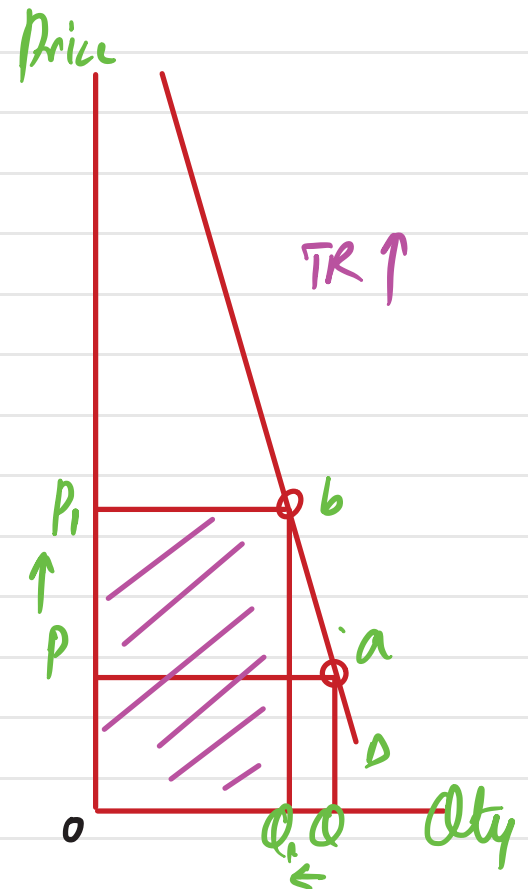
Use the knowledge of price elasticity of demand
Pricing strategy
Price discrimination

Elastic:- Price $\downarrow$ $Q \uparrow$ $TR \uparrow$

Inelastic:- Price $\uparrow$ $Q \downarrow$ $TR \uparrow$



Old TR :- $OPaQ$
New TR :- OP_1bQ_1



Old TR :- $OPaQ$
New TR :- OP_1bQ_1

Knowledge about costs!

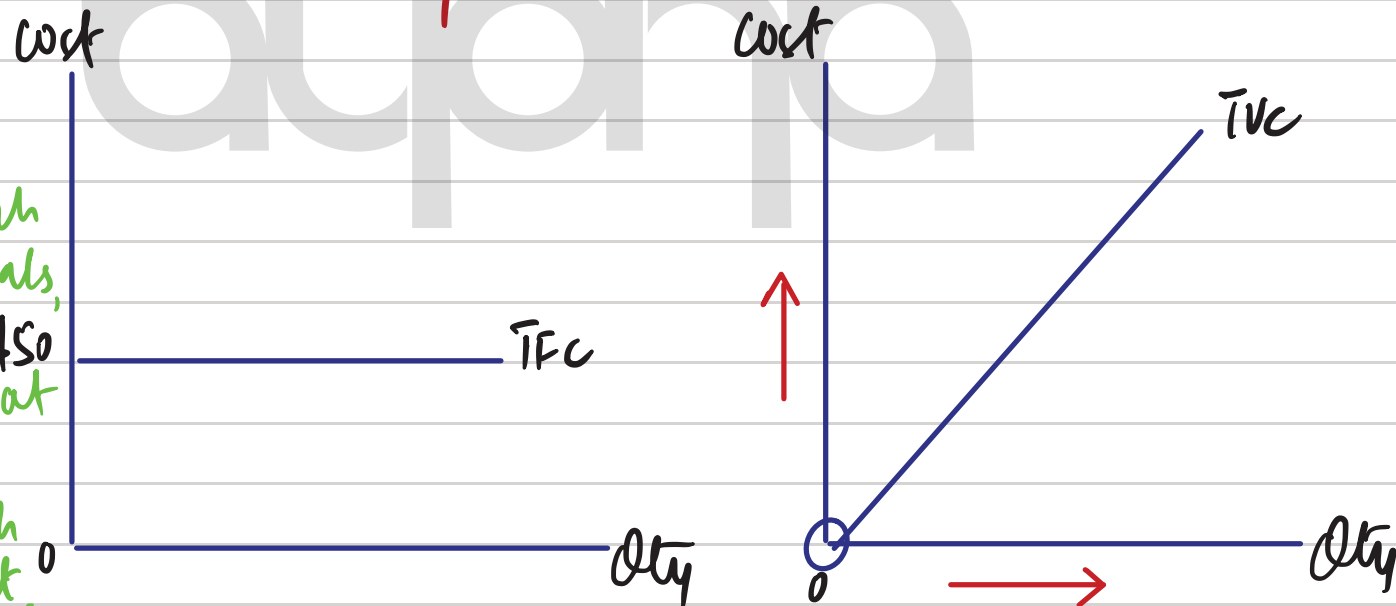
$$\text{Total cost (TC)} = \text{Total fixed cost} + \text{Total variable cost}$$

Fixed costs, costs that have to be paid, such as cost of interest, whether a business is producing anything at all; they do not alter with the quantity of output

↓
'Fix'
e.g. Rent
Salary

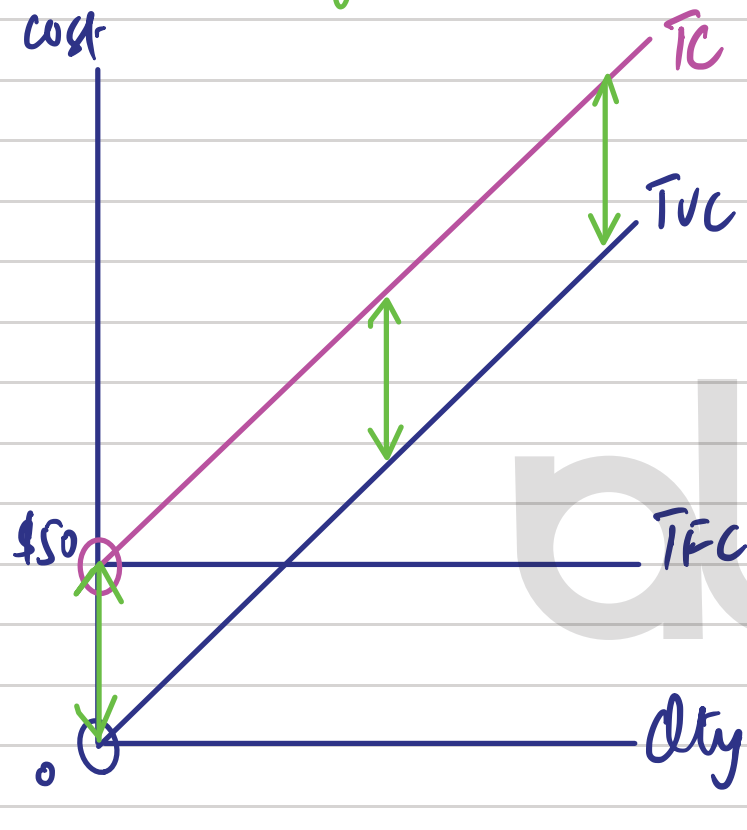
↓
'Vari'
e.g. wages
Raw material

Variable cost, costs such as cost of raw materials, that are zero when output is zero and that rise with output; they increase directly with the quantity of output.



Total cost = Total fixed cost + Total variable cost

Total cost, sum of total fixed cost and total variable cost at different outputs.



At '0' level of output,

$$TC = FC + VC$$

$$TC = 50 + 0$$

$$TC = 50$$

$$TC = FC$$

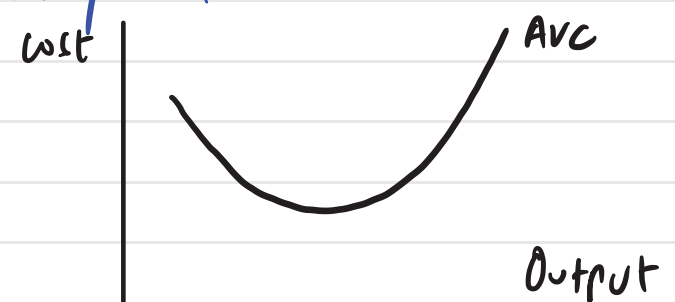
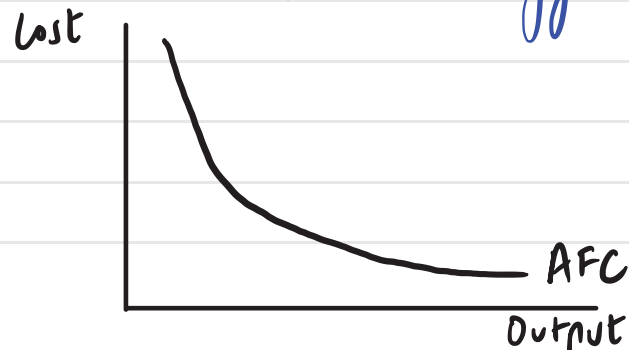
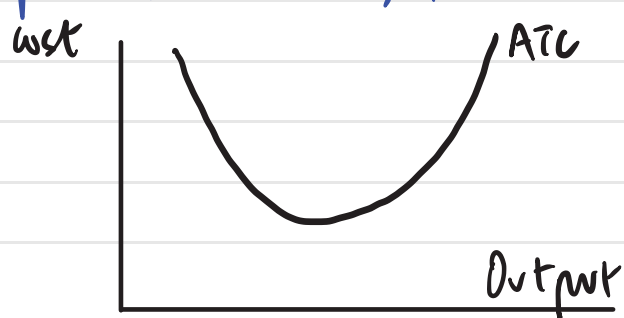
$$\begin{array}{l} TC = FC + VC \\ TC - VC = FC \end{array}$$

Total cost and total variable cost are parallel because the difference between them is fixed cost, which doesn't change, therefore the vertical distance remains unchanged.

Average total cost | Average cost: It is calculated by dividing the total cost by the level of output produced by a firm. This can be seen in diagram. At low levels of output, average cost falls until it reaches its lowest point. This is known as the optimum. As output increases beyond this point, average cost rises. This is why average cost curve is U-shaped.

Average fixed cost: It shows how fixed costs change as the output of a firm is increased. It is calculated by dividing the total fixed costs of production by the number of units produced. The greater the output of a firm, the more the fixed costs will be spread over the output. The average fixed cost curve will fall very steeply to begin with at relatively low levels of output, but will fall more slowly at relatively high level of output.

Average variable cost: It shows how variable costs change as the output of a firm is increased. It is calculated by dividing the total variable costs of production by the number of units produced. The average variable cost curve, like the average cost curve, is U-shaped. Initially, at relatively low levels of output, the average variable cost curve falls, but as output is increased, the resources are combined less efficiently and the curve starts to rise.



Questions

Marks:- 30

- Q1 Using diagrams, explain how a producer can maximize revenue? (6)
- Q2 Using a diagram, define fixed cost (4)
- Q3 Using a diagram, define variable cost (4)
- Q4 Using a diagram, define total cost (4)
- Q5 Explain using a diagram, why the distance between total cost and variable cost remains unchanged? (6)
- Q6 Explain, using diagrams, concept of average total cost, average fixed cost and average variable cost! (6)